

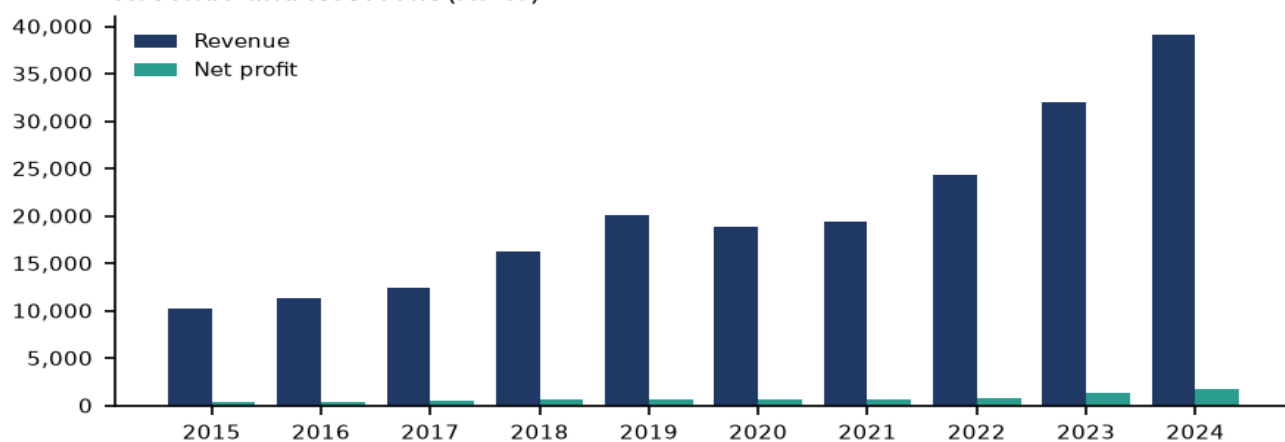
TVS Motor Company Ltd

TVSMOTOR | Consumer Discretionary | Two Wheelers

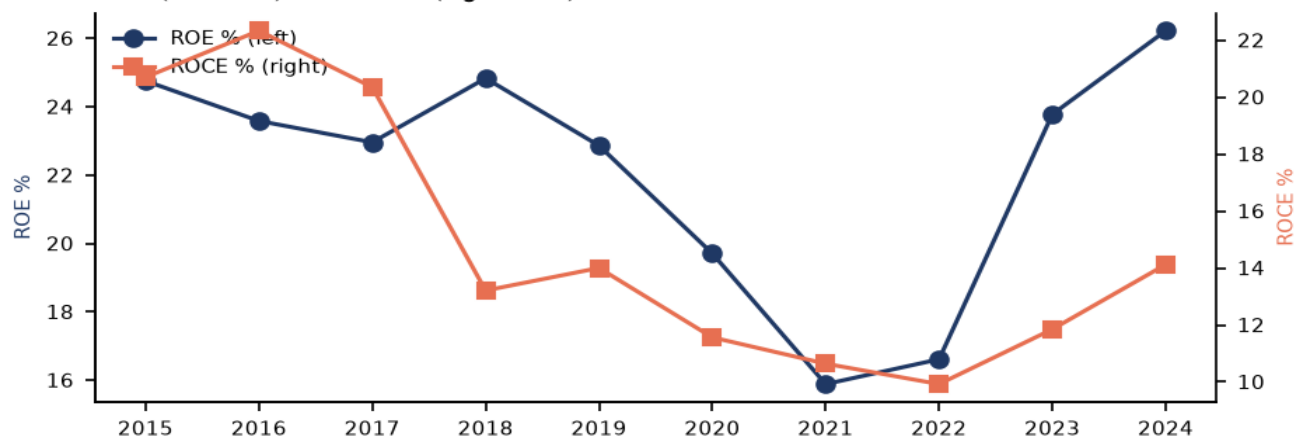
Key figures, financial year 2024

ROE 26.2%	ROCE 14.1%	Net profit margin 4.5%
Debt to equity 3.83	Revenue CAGR 5yr 14.2%	Free cash flow (Rs Cr) -2,254

Revenue and Net Profit (Rs Cr)



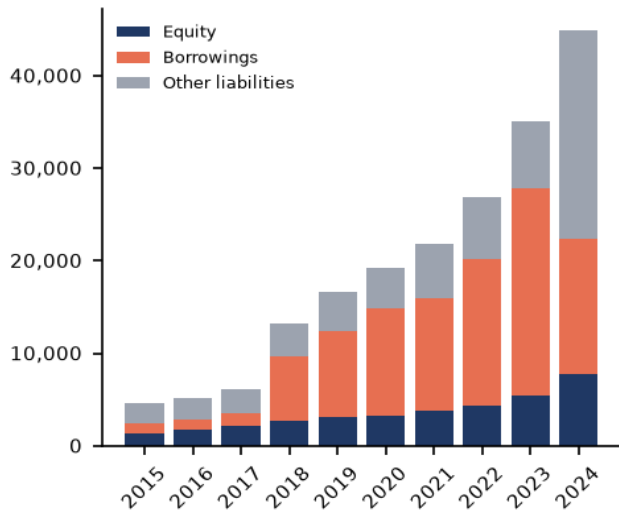
ROE (left axis) and ROCE (right axis)



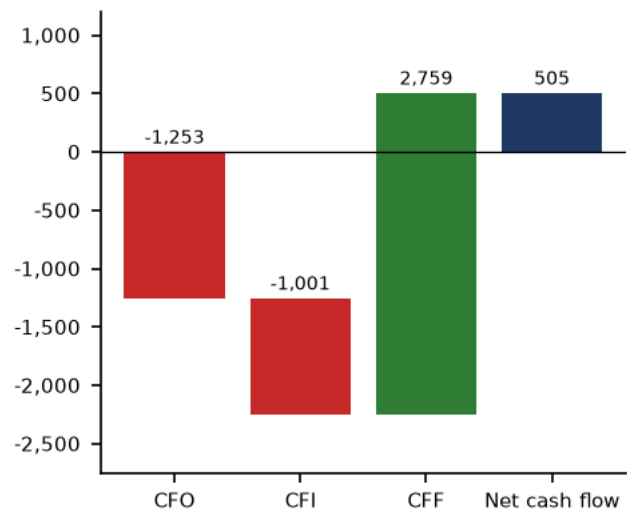
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Balance sheet composition (Rs Cr)



Cash flow, FY2024 (Rs Cr)



Pros

- Growing asset base funded by internal accruals reflects self-sustaining growth (100%)
- Return on equity improving for 3 consecutive years shows strengthening business quality (84%)
- Revenue growing slower than profits shows improving operating leverage and scale benefits (77%)
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding (64%)

Cons

- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring (81%)
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality (75%)
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility (69%)

Capital allocation: Growth Funded by Debt

Growth spending is funded by outside financing.

Generated from the Nifty 100 database. Percentages in brackets are the rule confidence. Pros and cons are automatic and are not investment advice. Market data (stock prices, market cap, P/E, P/B) used anywhere in this project is SIMULATED.